

DOMESTIC TRAVEL POLICY

Ver. 5.0

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Revision History

The Revision History table below provides a record of all revisions made to this document throughout its life cycle. Updates are tracked by date the revisions were made, the version number, a brief description of the changes made and reason, as well as the name of the reviser and the approver.

Effective Date	Version #	Change Description / Reason	Prepared/	Reviewed by	Approved by
			Revised by		
8 Aug 22	2.0	Added Own car for SM-GM Grade, Revised grades added	Corporate HR	Head BHR	Head HR
1 Sep 22	3.0	G-CHRO changed to Head HR	Corporate HR	Head BHR	Head HR & Chief of Staff
22 Sep 22	4.0	Revised the limits	Corporate HR & Administration	VP Admin & Head HR	Managing Director
01 December 2024	5.0	Policy clauses reviewed and amended.	Corporate Human Resource & Administration	Chief Human Resource Officer	Committee of Human Resources



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Travel Policy ("the Policy")

1. Purpose

To establish guidelines for eligibility & reimbursement of tour and travel expenses incurred by an employee while on business tour and travel for official purposes.

2. Scope

This policy is applicable to all full time on roll employees of Poonawalla Fincorp Limited ("PFL"/ "the Company").

3. Policy

- 3.1 The Company aims to ensure safe and convenient travel for all its employees. This Policy outlines the travel expenditure rules applicable to all employees of the Company.
- 3.2 Employees are encouraged and advised to utilize video conferencing facilities and/ or other technology platforms for internal meetings as much as possible. It may become necessary at times to travel outside one's base location in connection with the Company's work. In such an event, an effort must be made to undertake travel at the minimum possible cost without compromising the quality of work.
- 3.3 Each Department Head is responsible for their team's travel expenses and should ensure compliance with this Policy.
- 3.4 Employee(s) should plan their travel well in advance (at least 07 days prior to the date of travel) allowing the most efficient use of time and cost during travel subject to requisite prior approval of their reporting manager. If the travel request is made less than 7 days of the travel date, then such request needs to be additionally approved by the skip level manager. Duration of travel should be minimized as far as possible.
- 3.5 Before travel begins, an employee must raise travel requests to his/her reporting manager through the technology platform and apply for attendance regularization on HRMS portal within the same payroll cycle.
- 3.6 All travel bookings should be made through the Travel Desk/ Travel Portal of the Company as per the employee's eligibility.

- 3.7 Employees are expected to strictly conform to the laid down rules of this Policy and the HR Code of Conduct. The Company shall take strict action against any employee misusing or attempting to misuse the travel expenditure rules with possible financial and legal implications.

4. Travel Expenses

- 4.1 Any expense other than below mentioned expenses validly approved as per this Policy, will not be reimbursed by the Company -
- 4.1.1 Boarding and lodging
 - 4.1.2 Meals
 - 4.1.3 Conveyance
- 4.2 All reimbursements shall be based on submission of original bills/ receipts.
- 4.3 Within each category, bookings would be made based on an employee's eligibility as per their HR designation. The eligibility for lodging and other reimbursable expenses (excluding taxes) as per band & level of an employee is shared below. The ceilings for reimbursable expenses (excluding taxes) such as food expenses (in the hotel or outside), tips within reasonable limits and laundry expenses (including lodging expenses) as per HR designation of an employee are shared below.
- 4.4 For domestic travel, cities have been classified into various categories as given below:

City Category	Cities/ Areas covered
Tier 1 Plus	MMR* (Mumbai Metropolitan Region), Delhi/NCR*, Bengaluru.
Tier 1	Pune, Chennai, Kolkata, Hyderabad, Ahmedabad, Jaipur, Kochi.
Tier 2	Lucknow, Chandigarh, Indore, Surat, Nagpur, Patna, Raipur, Ranchi, Coimbatore, Rest all state capitals
Tier 3	Any other locations (Except cities mentioned in Tier 1 Plus, Tier 1 & 2)

*MMR (Mumbai, Navi Mumbai & Thane City), *NCR (Noida, Gurugram & Ghaziabad)

Travel Eligibility Matrix

HR Designation	* Eligibility to Travel	* Local Travel	**(Hotel Expenses per day (with bills capped at))			
			Tier 1 Plus	Tier 1	Tier 2	Tier 3
Officer – Deputy Manager	Bus / 3 AC – Train	Auto / Two-Wheeler / App Cab	3700	3500	2500	2000
Manager – Manager II	Air Eco Class/ Bus /2AC Train/Own Car	Auto / Two-Wheeler/ App Cab/ Own Car	4200	3750	3000	2500
Sr Manager – GM II	Air Eco Class/ Bus/ 2AC Train/ Own Car/ App Cab	App cab / Own Car	6500	5500	4500	4000
AVP – VP II	Air Eco Class/ 1AC Train/Own Car / App Cab	App cab/ Own Car	8000	7000	5500	4500
SVP / SVP II	Air Eco Class/ 1 AC Train/ Own Car/ App Cab / Cab	App Cab / Cab/ Own car	10000	8500	6500	5500
EVP/EVP II	Air up to Premium Economy Class/1 AC Train/ Own Car / App Cab / Cab	App Cab /Cab / Own Car	18000	15000	11000	8000
President, ED, MD &CEO	Air up to Business Class/Own Car/ Cab	Cab	At actuals	At actuals	At actuals	At actuals

Reimbursable Expenses Eligibility Matrix

HR Designation	* Reimbursable Expenses (Food and other expenses / Day -With bills capped at)		
	Tier 1 Plus / Tier 1	Tier 2	Tier 3
Officer – Deputy Manager	1000	800	700
Manager – Manager II	1200	900	800
Sr Manager – GM II	1300	1000	900
AVP – VP II	1500	1300	1000
SVP – SVP II	3000	2700	2300
EVP/EVP II	At actuals subject to capped limit of INR 5000		
President, ED, MD &CEO	At actuals		

*Above eligibility is exclusive of all the applicable taxes.

The local conveyance & Intercity Travel (Within 250 kms-one way) can be claimed as per below grid for own vehicle usage-

Type	*Entitlement (In INR per kilometer)
Car	9.00
Two-wheeler	3.00

*Cannot be claimed by employees who have a mobile & conveyance component in their CTC.

* Toll /Fast tag receipts to be submitted while claiming the toll charges over and above the entitlement.

4.5 The following expenses are NOT reimbursable:

- 4.5.1 Membership fees to register for any reward program, frequent flyer clubs, etc.
- 4.5.2 Alcoholic beverages, cigarettes, tobacco, etc.
- 4.5.3 Expenses incurred for personal use covering but not limited to mini bar, telephone bills, health club, gift shops, spa/sauna treatment, in-room movies, clothing / hygiene products, city tours and personal entertainment such as theater, symphony, movies, sports events, personal medication, personal electronic/ gadgets, Traffic and Parking fines & Airport Parking Charges, Inflight entertainment, etc.
- 4.5.4 Expenses for any upgradation in travel accommodation and excess baggage charges for personal luggage.
- 4.5.5 Laundry expenses for travel duration of 2 consecutive nights or less. (It will be reimbursable only post 2 nights capped at INR 300 per day over and above the Food Expenses.)
- 4.5.6 Personal credit card annual fees and delinquency / finance charges.
- 4.5.7 Hotel and travel cancellation charges.
- 4.5.8 Loss/ repair of personal funds and property during travel.
- 4.5.9 Insurance deductibles for accidents involving personal car while on business travel.
- 4.5.10 Any traffic violation charges while on business travel.
- 4.5.11 Any expenses towards room charges or other things for guests / friends / family members.

4.5.12 Any other expenses or purchases which are personal in nature.

Note: *The above list of exclusions is not exhaustive, and it is up to the employee and the manager to ensure that any expenses not related to the company's business are not claimed.*

- 4.6 At the time of booking App cabs (Ola / Uber or similar), employees at Officer to Manager-II grades are advisable to book Hatchback cabs & Sr Manager to VP -II are advisable to book Hatchback / Sedan category cabs. If travelling in a group, the employees are advised to share the cab when travelling to the same city / location and expenses to be claimed based on the invoice booking details.
- 4.7 Employees are eligible for the hotel accommodation as per the limits mentioned in the travel eligibility matrix.
- 4.8 When the hotel accommodation is provided by the Company or when no hotel accommodation is required with return on the same day; the employees will be entitled for reimbursement of food at actuals or at maximum levels defined reimbursement expenses eligibility matrix, whichever is lower.
- 4.9 Employees will not be entitled for any Hotel expenses in the scenario where the stay arrangements are made by the company on twin / double sharing basis. (Training or Conference, R&R or annual function of the Company, Offsite events, Branch Visits etc.)
- 4.10 Bookings across grades must be done on twin sharing basis wherever applicable. (Except for VP and above). In the event where the employee is travelling for 5 consecutive nights or more, single occupancy can be availed.
- 4.11 In the event, 2 (two) employees are sharing the room, eligibility of the hotel accommodation can be clubbed as per the individual eligibility limits.
i.e. If a GM and Manager are sharing a room in Chennai, then the combined limit will be Rs. 5,500/- + Rs 3,750/- i.e., Rs. 9,250/-. In such cases, individuals can claim the charges as per eligibility matrix specified in eligibility matrix.
- 4.12 All employees must settle their hotel accommodation bills at the time of checkout. Employees must ensure that the companies state specific GST details are mentioned on the invoice before settlement of the bills. (Wherever applicable)
- 4.13 Hotel & Cab booking will be done through the travel desk for employees with grades SVP

& above and it will be on Bill to Company (BTC).

- 4.14 Location less than 300 kms is a “NO-FLY” zone for Manager to GM -II level. Air travel is to be strictly avoided unless taking into consideration the eligible road travel distance & cost.
- 4.15 Employees between Manager to GM -II level can book air tickets in the scenario where the distance between the two cities is less than 300 km (one way) or the air tickets are available at less than INR 2500/- and claim as per the reimbursement policy. The claim amount however will be considered based on the road distance between the 2 cities on the basis of car per kilometer rate mentioned above or with a maximum capping of INR 2500 whichever is lower.
- 4.16 Air tickets should be booked as soon as the tour is approved to avoid price escalation.
- 4.17 Controlling costs of cancellation and ensuring appropriate refunds is the sole responsibility of the concerned employee.
- 4.18 In case of Cancellation of the travel plan, it is the express duty of the employee to ensure cancellation of the booked services as per the cancellation terms & conditions mentioned at the time of booking.
- 4.19 In case of non-cancellation/ late cancellation, the bookings (travel & hotel) will be considered as “NO SHOW” and resultant cost incurred will be debited to the employee’s account.

5. Guidelines

- 5.1 It is mandatory for all employees to book their business travel through the travel portal only.
- 5.2 All business travel should be based on business requirements.
- 5.3 For offline travel requests, it is mandatory for all employees to share the approved Travel request ID with the travel desk for further processing.
- 5.4 Employees should intimate his/ her travel plan to the travel desk / book on the Portal 1 (one) week in advance to get the best deal.
- 5.5 All offline requests must be shared with the travel desk during business working hours.
- 5.6 Air travel request 7 days before travel date to be approved by the reporting & skip level manager.

- 5.7 It is advisable to book GST assured hotels on the travel portal for the company to get GST inputs credit, also at the time of check out, it is the responsibility of the employee to collect the GST bill from the hotel.
- 5.8 It is advisable for all employees to use a shared cab to the extent possible while travelling to the same city / destination.
- 5.9 While on business trips, it is recommended that employees to take care of their personal and company assets. Any damage or loss of company assets and any damage to the hotel property during the official stay is the responsibility of the respective employee.

6. Claim Process.

- 6.1 Employees should claim the expenses in the monthly cycle as per travel date.

Travel Date	Claim Cycle
1 st to 31 st of the month	Before 15 th of next month
Cross overtravel dates in 2 (two) months	Before 15 th of next month

For example – Employee travelling between 5th to 10th October, can claim the expenses by 15th November for October cycle.

- 6.2 The employee needs to follow below claim process.
 - 6.2.1 Fill out the Travel Reimbursement Form on the HRMS portal with expense details for hotel, conveyance, food, and other expenses.
 - 6.2.2 Attach necessary bills/ vouchers, travel tickets, boarding passes, approved travel requisition mail. Invoices which are attached should be eligible and stamped wherever required. In the event of GST invoice, employees need to ensure that PFL GST No. is properly mentioned on the invoice.
 - 6.2.3 Submit the same on the HRMS portal. The approval must be done by LRA1 not below the level of Manager.
 - 6.2.4 In case of deviation / exception, approval in HRMS will be from both LRA1 and LRA2. Further mail approval would be needed to comply with point 7 (Exception to the policy) from HOD/ Senior Vice President or level above of that department.
 - 6.2.5 Finance & Accounts to process the claims basis policy guidelines and provide the reimbursements monthly.
- 6.3 All business expense reimbursements are subject to audit by the Accounts Payable Team. If an issue arises which could preclude reimbursement, the request will be held pending

for further discussion with the employee. Also, business expenses older than 90 (Ninety) days submitted for reimbursement will not be processed for payment.

7. Exceptions.

Any exception to the Policy, user will require to take an approval from the HOD /Senior Vice President or a level above of that department.

8. Amendments

Any major amendments to this policy should be recommended by the Admin Head & will be jointly approved by the CHRO & COHR.

Any revision in travel eligibility matrix basis the market trends will be reviewed and approved by Head Admin & CHRO.

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